

cryptio

U.S. crypto market structure:

2025 - End of year snapshot



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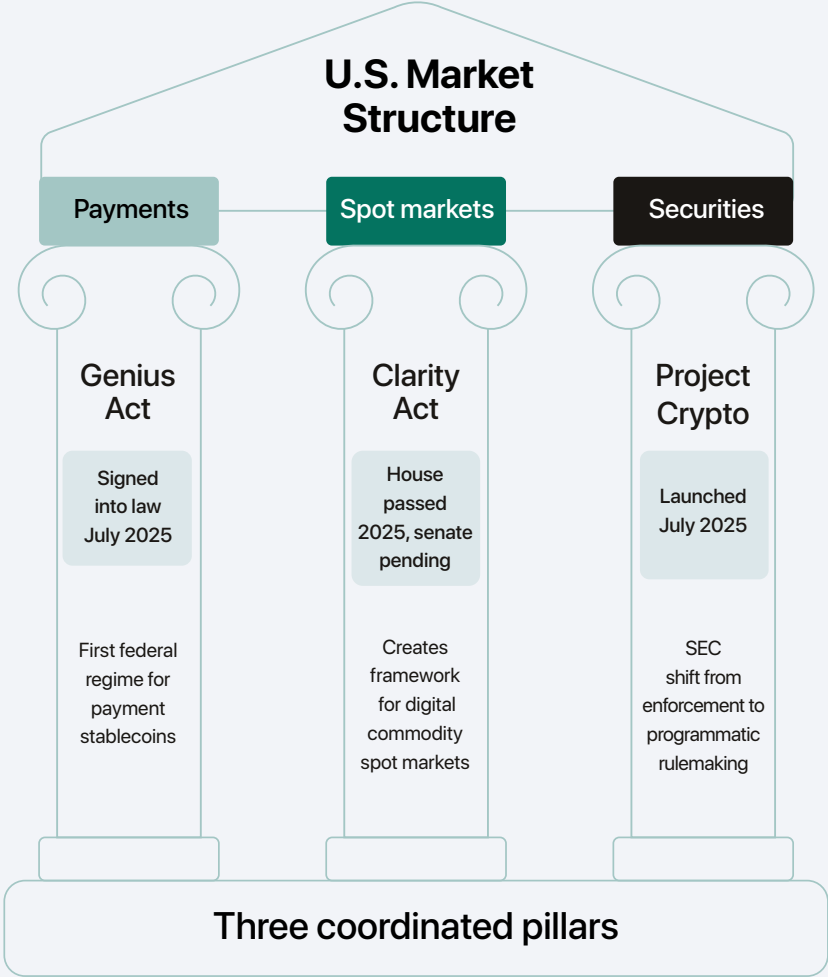
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Introduction

For the first time, the United States is assembling the building blocks of a coherent market structure for digital assets. After a decade of overlapping jurisdictions, enforcement-first policymaking, fragmentation and regulatory uncertainty, three initiatives (GENIUS, CLARITY and Project Crypto) are set to define the rules of the road.

Together, these pillars sketch a U.S. model where **payments, spot markets, and securities oversight** are addressed in a coordinated way. The next question is not whether digital assets will be regulated, but how these pieces connect – and what changes issuers, exchanges, custodians, and banks should expect.

This guide provides an overview of the U.S. regulatory landscape for crypto market participants. It explains the three pillars, highlights additional developments (tax, AML, banking, political), and sets out the implications for institutions navigating this new environment.

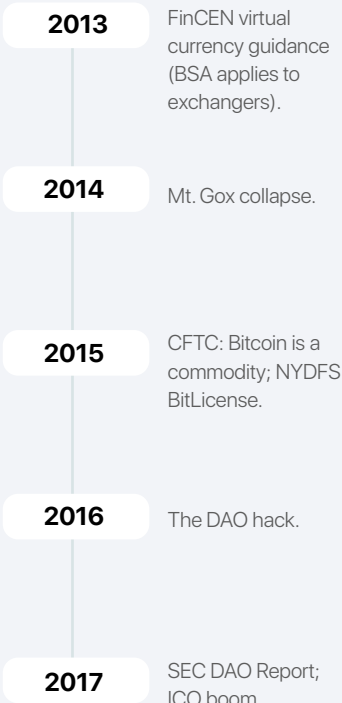


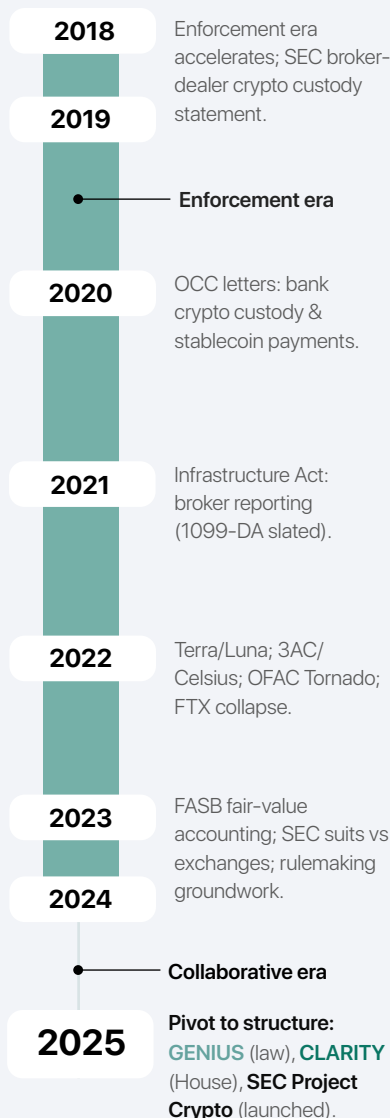
Context & history: 2013–2025

A decade of fragmentation → a pivot to structure

From 2013 to 2024, U.S. crypto policy was defined by fragmented oversight and enforcement-led clarity. FinCEN set anti-money laundering expectations under the Bank Secrecy Act; the CFTC classified Bitcoin as a commodity; the SEC’s DAO Report established that many ICOs were securities; states layered regimes like New York’s BitLicense; and banks relied on OCC letters for custody and payments. Crises such as Terra/Luna and FTX accelerated calls for federal guardrails.

By 2025, the U.S. pivoted to a layered market structure: **GENIUS** (payment stablecoins), **CLARITY** (digital commodities/spot markets), and **SEC Project Crypto** (programmatic securities rulemaking).



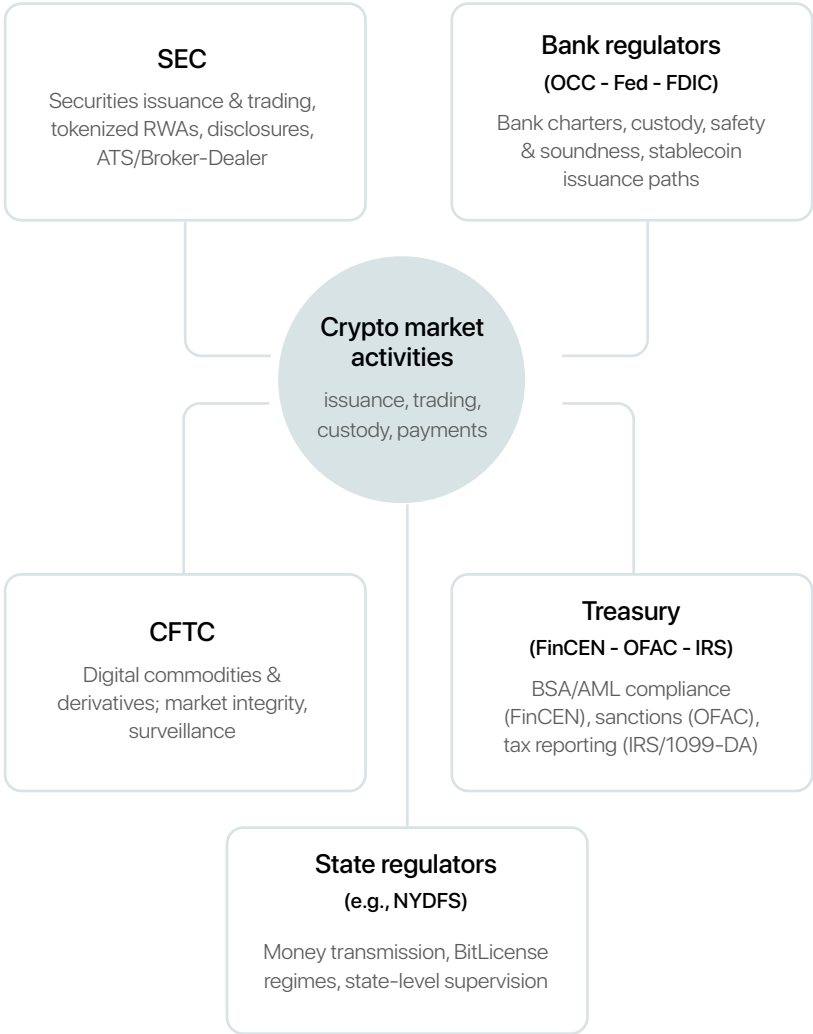


The pre-2025 patchwork

For over a decade, crypto activity sat in overlapping regulatory silos – securities (SEC), commodities (CFTC), banking safety and soundness (OCC, Fed, FDIC), and financial crime enforcement (Treasury’s FinCEN, OFAC, and IRS) – all layered with state regimes such as New York’s BitLicense.

The problem wasn’t who the regulators were, but how **unclear the boundaries between them** remained. The same token could be treated as a security by the SEC, a commodity by the CFTC, and a money transmission instrument under state law. This institutional overlap defined the enforcement-first years of U.S. crypto policy and ultimately created the pressure for 2025’s move toward a more structured, multi-lane framework.

Regulatory overlap map (U.S.)



Pillar 1

Payments: GENIUS Act (stablecoins)

Status: Signed into law (July 2025)



A unified federal regime for payment stablecoins

The **GENIUS Act** establishes the first federal licensing and supervisory framework for payment stablecoin issuers – defining who may issue, how reserves are held, what must be disclosed, and how consumers are protected. In exchange for strict compliance, qualifying stablecoins gain statutory clarity: they are **not classified as securities or commodities**.

The model is prudential (bank-style) rather than capital-markets-based: issuers may pay no interest to holders, cannot rehypothecate reserves, and must maintain high-quality, 1:1 backing in cash or short-term Treasuries to ensure safety and trust.

Who can issue

- FDIC-bank subsidiaries (under their primary bank regulator).
- OCC-chartered non-bank "permitted payment stablecoin issuers.
- State-licensed issuers $\leq$ \$10B circulation (must federalise within 360 days once they exceed \$10B).

Reserves & safeguards

- 100% backing in high-quality liquid government assets: cash, $\leq$ 93-day U.S. Treasuries, or equivalent short-term instruments
- No corporate debt; no rehypothecation of reserves.
- Monthly public reserve disclosures.
- Independent audit once supply exceeds \$50B.

Consumer & market rules

- No yield/interest to holders (issuers retain T-bill coupons).
- No "FDIC-insured" / "U.S. government-backed" marketing claims.
- Holder priority in custodian insolvency.
- Carve-out: compliant coins not securities/commodities
- BSA/AML perimeter: issuers are financial institutions (FinCEN/OFAC obligations).

Practical implications

Banks: gain a clear lane to issue and custody stablecoins. Because issuers cannot pay interest, they retain the yield on reserves – improving margins, but shifting competition to trust, scale, and integration rather than yield.

Fintechs & exchanges: must redesign or retire yield-bearing “earn” programs. U.S. distribution will concentrate in GENIUS-compliant issuers (or approved foreign equivalents), reshaping wallet UX and product offerings.

Issuers: face prudential-style supervision: strict reserve operations, tight limits on marketing claims, monthly disclosure obligations, and independent audits once supply exceeds \$50B.

How GENIUS compares (EU MiCA & UK BoE/FCA)

Topic	U.S. GENIUS (2025)	EU MiCA (2024–2025)	UK BoE/ FCA regime (in progress)
Status	Law (July 2025), regs pending	ART/EMT rules live (June 30, 2024); CASP rules Dec 30, 2024	BoE DP (2023); FCA CP25/14 (2025); final rules expected later
What’s covered	Payment stablecoins from permitted issuers; not securities/ commodities if compliant	ARTs/EMTs (asset-referenced & e-money tokens); CASP licensing	Systemic payment stablecoins & qualifying stablecoins; custody rules

Topic	U.S. GENIUS (2025)	EU MiCA (2024–2025)	UK BoE/ FCA regime (in progress)
Who supervises	Banking regulators (bank subsidiaries by primary regulator; OCC for federally licensed non-banks)	NCAs with EBA/ESMA standards/guidelines	BoE for systemic systems; FCA for issuance/custody; PRA for banks
Reserves	1:1, specified HQLA (USD, short-term UST); monthly public disclosure	1:1 high-quality reserve assets; authorization & prudential/ disclosure regime	Fully backed, wallet & service-provider requirements proposed
Interest to holders	Prohibited	Prohibited (EMT/ART remuneration constraints under MiCA)	Restrictions discussed; approach focused on payments not investment
Foreign issuers in market	Required comparability determination + U.S. reserves + OCC registration	Passporting within EU; third-country access via equivalence is limited	Under consultation; implementation staged through 2026

*Glossary on page 24

Pillar 2



Spot markets: CLARITY Act (digital commodities)

Status: House passed (2025); Senate pending

CLARITY will establish a three-tier framework that settles the SEC–CFTC boundary and defines how different types of tokens fit into the U.S. market structure:

Category	Core idea	Primary regulator	Regulatory transition
Permitted payment stablecoins	Money-like, redeemable at par, prudentially supervised	Banking agencies (OCC / Fed / FDIC)	Fixed-lane; no transition: remains under prudential oversight
Investment contract assets	Tokens sold via securities offerings for capital formation	SEC	May transition to digital commodity status upon maturity certification
Digital commodities	Functionally decentralized tokens intrinsic to a blockchain	CFTC	End state when certified as "mature" – freely tradable on spot markets

This model gives issuers a **predictable on-ramp** for capital formation, defines when a network is **functionally decentralized** (open-source, programmatic operation, dispersed ownership), and **hands spot-market oversight to the CFTC** once maturity is achieved. Exchanges and brokers gain a federal registration path with custody, segregation, and surveillance standards – giving investors commodity-style market integrity without calling everything a security.

1. Commodity vs. security (the CLARITY test)

A token can qualify as a **digital commodity** if it is **intrinsic to the functioning of a blockchain** and the network meets “**mature blockchain system**” criteria, including:

- **Open-source & functional:** (users can run nodes, transact, deploy apps)
- **Programmatic operation:** (rules enforced in code on a permissionless basis).
- **Dispersed control & ownership:** (no single party – or affiliated group – holds $\geq 20\%$ ownership or unilateral voting/control).

Exclusions: payment stablecoins, tokenized securities/RWAs, deposits, derivatives, pooled investment vehicles, and one-of-one and collection NFTs remain outside this lane.

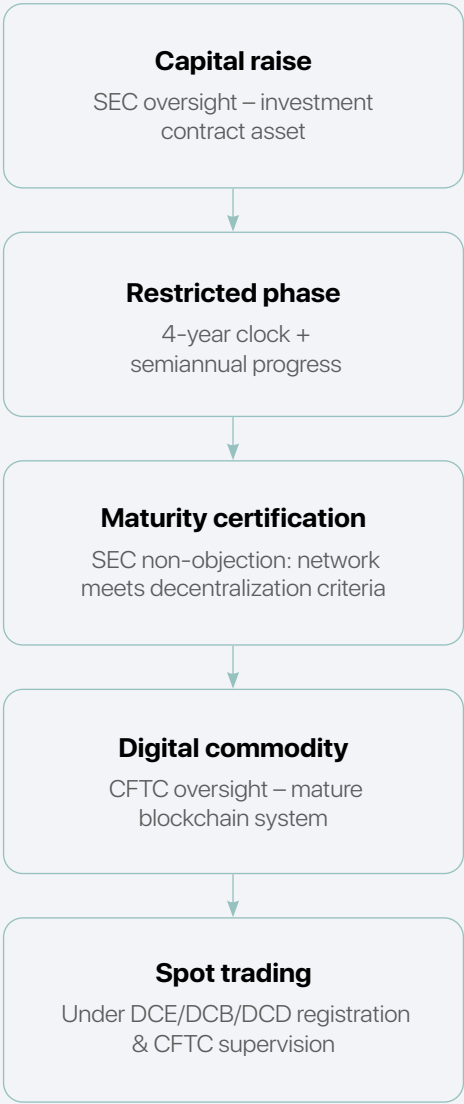
2. Transition pathway for tokens

- **SEC on-ramp (restricted phase):** an SEC-supervised exemption with an offering statement and **semiannual progress** reports until maturity.

- **Maturity certification:** a **60-day SEC non-objection** process to certify the network as a mature blockchain system.
 - **Four-year clock:** measured **from the first restricted offering**; if not certified within four years, requirements tighten (qualification + added disclosures).
 - **Secondary-market clarity: secondary sales by non-issuers** are not treated as sales of the investment contract once assets are in general circulation.
 - **Legacy assets & forks:** existing widely circulated tokens can seek maturity certification; **material protocol changes/forks** may trigger re-assessment under venue listing policies.
-

3. Obligations for exchanges & intermediaries

- **Registration:** with the CFTC as a **Digital Commodity Exchange/ Broker/Dealer (DCE/DCB/DCD)**.
- **Core principles:** market surveillance, impartial access, operational resilience, **segregation of customer assets**, limits on proprietary trading.
- **Custody:** use a **Qualified Digital Asset Custodian (QDAC)** with **off-balance-sheet** segregation and attestable controls.
- **Listings:** certification/notice framework with a CFTC non-disapproval process.
- **AML:** operate **inside the BSA/OFAC perimeter**.
- **Conflicts & transparency:** enhanced conflict-management and **surveillance-sharing** to be specified in rulemaking.



Pillar 3

Securities: SEC Project Crypto

Status: Launched (Aug 2025)



Project Crypto marks the SEC's shift from case-by-case enforcement toward a structured rulemaking program to modernize capital-market oversight for tokenized assets and address how crypto market structures diverge from traditional securities markets. The initiative focuses on adapting disclosure, custody, and trading rules so digital securities can operate safely and transparently on-chain.

Crucially, the SEC is also developing a vision for a "super-app" market model – a single integrated trading environment that could support trading across digital commodities, payment stablecoins and digital securities and even traditional securities. Each would function within its own regulated lane, but trade on the same unified platform under a potential umbrella or 'super-license' framework. Common infrastructure – covering KYC, surveillance, market-data integrity, and settlement rails – would be coordinated across agencies to ensure interoperability without blurring regulatory boundaries.

Focus areas

Where the SEC is concentrating its rulemaking work so crypto-asset securities can function on-chain without sacrificing investor protections.

Disclosures & reporting

The SEC is poised to require tokenized issuers to surface smart-contract risk, governance/oracle changes, code updates, and on-chain/off-chain recordkeeping.

Venues & market access

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Custody & customer protection

Reforming broker-dealer and investment adviser custody rules to support crypto, with clearer definitions for "qualified custodians," auditability, conflicts, and reconciliation.

Capital formation & tokenized issuance

Adapting Reg D / CF / A to deal with programmable constraints (transfer limits, cap tables, KYC), and making issuance mechanics more seamless for blockchain models.

Early consultations / RFI themes

The SEC is gathering input on the following topics before proposing binding rules.

- **Issuer disclosure cadence:** what schedule, depth, and triggers should tokenized issuers follow for reporting smart-contract changes or oracle failures?
- **Venue coexistence / Super-app design:** how to balance co-trading of securities and non-securities under one platform while preserving surveillance integrity and fair access.
- **Custody evidence & control standards:** what empirical tests, SOC/ audit frameworks, reconciliation rules, or key-management standards will qualify custodians?
- **Market data & surveillance sharing:** how real-time data feeds and surveillance cooperation should function across token venues and legacy markets.
- **On-chain settlement & bridging:** which settlement models, transfer-agent roles, chain mirrors, or bridges will interface with DTCC or legacy systems.
- **Inter-agency handoff:** practical coordination between SEC and CFTC for assets that may straddle securities and digital commodity boundaries.

Rulemaking is underway, with proposals and RFIs expected to roll out sequentially across these areas.



Surrounding policy landscape (U.S. 2024–2026)

While CLARITY, GENIUS, and Project Crypto are set to define the core pillars of U.S. market structure, several complementary measures shape the broader landscape. These parallel efforts – in banking supervision, AML enforcement, accounting, and CBDC policy – round out how the new framework functions in practice. Together, they signal a broader federal push toward consistency, transparency, and institutional readiness across the crypto financial system.

Regulatory action	Market impact
Anti-CBDC: House signal, not law <i>(Status: Political)</i> The House passed a bill blocking a retail Fed CBDC; it has not advanced in the Senate.	Reinforces the policy tilt toward private payment stablecoins (GENIUS) rather than a Fed-issued retail token.
Banking lanes (OCC letters) <i>(Status: Live)</i> OCC interpretive letters remain operative -1170 (custody), 1172 (stablecoin reserves), 1174 (blockchain payments)- subject to supervisory conditions.	Provides banks with a supervised pathway to custody assets, hold reserves, and facilitate blockchain payments.

SAB 122: Crypto custody accounting rescinded

(Status: Live – Jan 2025)

Replaces SAB 121 and removes the requirement for custodians to record client crypto holdings as balance-sheet liabilities.

Eases prior capital and balance-sheet constraints for banks and public filers.

Treasury/FinCEN: AML perimeter tightening

(Status: Proposed/Active)

Targeted actions on mixers/obfuscation services and modernization of risk-based AML programs.

Raises expectations for screening, recordkeeping, and sanctions controls across crypto intermediaries.

Tax & accounting: reporting gets real

(Status: Live/Phased)

1099-DA phased rollout (gross proceeds first, then basis). FASB fair-value accounting effective for fiscal years beginning after Dec 15, 2024.

CFOs/controllers face heightened reconciliation demands – tightening audit readiness and investor reporting.

Integrating the framework



While CLARITY, GENIUS, and Project Crypto are emerging as the core framework for U.S. digital asset markets (pending legal finality), institutions need more than standalone pillars – they need alignment across custody, disclosure, and supervision. Where connections are incomplete, operational, compliance, and liquidity risks emerge.

How the regimes interlock

Theme	GENIUS (stablecoins)	CLARITY (digital commodities)	SEC Project Crypto (securities)
Custody	Reserves in cash or ≤93-day Treasuries; no rehypothecation; issuer-level segregation.	QDAC model for exchanges and brokers; segregation and bankruptcy-remote treatment to be detailed in rulemaking.	Broker-dealer and qualified-custodian standards; segregation and audit evidence similar to existing 15c3-3 principles.
Disclosures	Monthly reserve reports and independent audits above \$50 billion; strict limits on marketing claims.	Maturity filings on decentralization, functionality, and open-source status; plain-language risk statements.	Token-specific disclosures on governance, code changes, and risks; existing Reg D/CF/A exemptions apply, with digital-asset adaptations under SEC review.
Venues & supervision	Issuers operate within the BSA/AML perimeter; settlement tokens flow through banking and fintech rails.	CFTC-registered DCE/ DCB/DCD venues with surveillance, segregation, and disclosure standards.	ATS/NMS venues for tokenized securities; coordination with CFTC on cross-listing and surveillance sharing.

Regulatory gaps & market and supervision challenges

Several areas of the digital asset landscape still lack clear regulatory treatment:

CFTC resourcing

CLARITY hands the CFTC a brand-new spot-market mandate, but effective supervision will depend on whether the agency receives the funding and staffing it needs.

DeFi and DAOs

Protocols raise the fundamental question of *who counts as the intermediary*. With no federal framework on DAO liability, governance, or investor protections, accountability remains uncertain.

NFTs

Distinctions between one-of-one assets and larger collections are unresolved; securities analysis continues to be applied case-by-case.

Staking and MEV

The regulatory treatment of validator services, customer staking, and re-staking is unsettled, especially with respect to custody and concentration risks.

Fragmentation and liquidity

Order flow may splinter across ATSs (securities), CFTC-registered venues (commodities), and offshore markets – raising challenges for price discovery, surveillance, and best-execution.



Institutional implications

GENIUS, CLARITY (if passed), and Project Crypto will set the foundations. The hard part is operationalizing them – aligning custody, disclosures, reporting, and controls across business lines.

Operating implications by participant

Issuers (tokens / stablecoins)

- Map the lifecycle: securities issuance → decentralization milestones → commodity status (where applicable).
- Establish structured disclosure calendars: reserves (GENIUS), maturity filings (CLARITY), governance / code-change notices (securities).
- Marketing hygiene: no yield to holders, no “FDIC-backed” claims on stablecoins.

Exchanges & brokers

- Register in the right lane: CFTC (DCE/DCB/DCD) for digital commodities; SEC ATS/exchange for securities.
- Segregation of customer assets; surveillance and reporting requirements.
- Product offerings: remove/disable yield on stablecoin balances for U.S. users under GENIUS.

Banks

- Decide build vs white-label stablecoin issuance; align liquidity management and reserve attestations to GENIUS.
- Map OCC letters 1170/1172/1174 to internal policies (custody, reserves, blockchain payments).
- If doing both custody and reserve holding, plan for dual oversight and clear conflict management.

Custodians

- Unify custody evidence: segregation logs, reconciliation-to-chain, SOC reports, incident response.
- Prepare for QDAC standards (commodities) and qualified custodian expectations (securities).

CFOs / Controllers

- FASB fair-value accounting is effective for fiscal years beginning after Dec 15, 2024.
- SAB 122 (Jan 2025) rescinds SAB 121 – apply general contingency accounting for safeguarding obligations; maintain Reg S-K disclosures.
- Build 1099-DA pipelines (gross proceeds first; cost basis follows) and ensure audit-ready sub-ledgers across tokens, stablecoins, and securities.

The road ahead

The U.S. is no longer in an enforcement-only era. With GENIUS, CLARITY, and Project Crypto, policymakers are establishing a layered market structure for digital assets: stablecoins treated as money-like instruments, native tokens able to transition into commodities, and securities given tailored paths for issuance, custody, and disclosure.

The challenge now is not whether rules exist, but whether they work together. Harmonization across custody, disclosures, and venues will decide if the system functions as a coherent market – or fragments into silos with thinner liquidity and higher risk. Regulators face the task of coordinating across agencies; institutions face the task of aligning operations without waiting for every rule to be finalized.

For market participants, the takeaway is clear: **engage early, prepare your controls, and help shape implementation.** The next 12–24 months will define how these frameworks move from legislation to practice. Those who build readiness now will be better placed to influence the details, reassure investors, and compete with confidence in a more transparent, regulated U.S. market.

Glossary

GENIUS: Guiding and Establishing National Innovation for U.S. Stablecoins Act (2025)

OCC: Office of the Comptroller of the Currency (U.S.)

FDIC: Federal Deposit Insurance Corporation (U.S.)

NCA: National Competent Authority (EU member-state regulator)

EBA: European Banking Authority

ESMA: European Securities and Markets Authority

BoE: Bank of England

FCA: Financial Conduct Authority (UK)

PRA: Prudential Regulation Authority (UK)

HQLA: High-Quality Liquid Assets (cash, ≤93-day Treasuries, Treasury repos, gov-only MMFs)

CASP: Crypto-Asset Service Provider (MiCA regime)

ART / EMT: Asset-Referenced Token / E-Money Token (MiCA categories)

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